

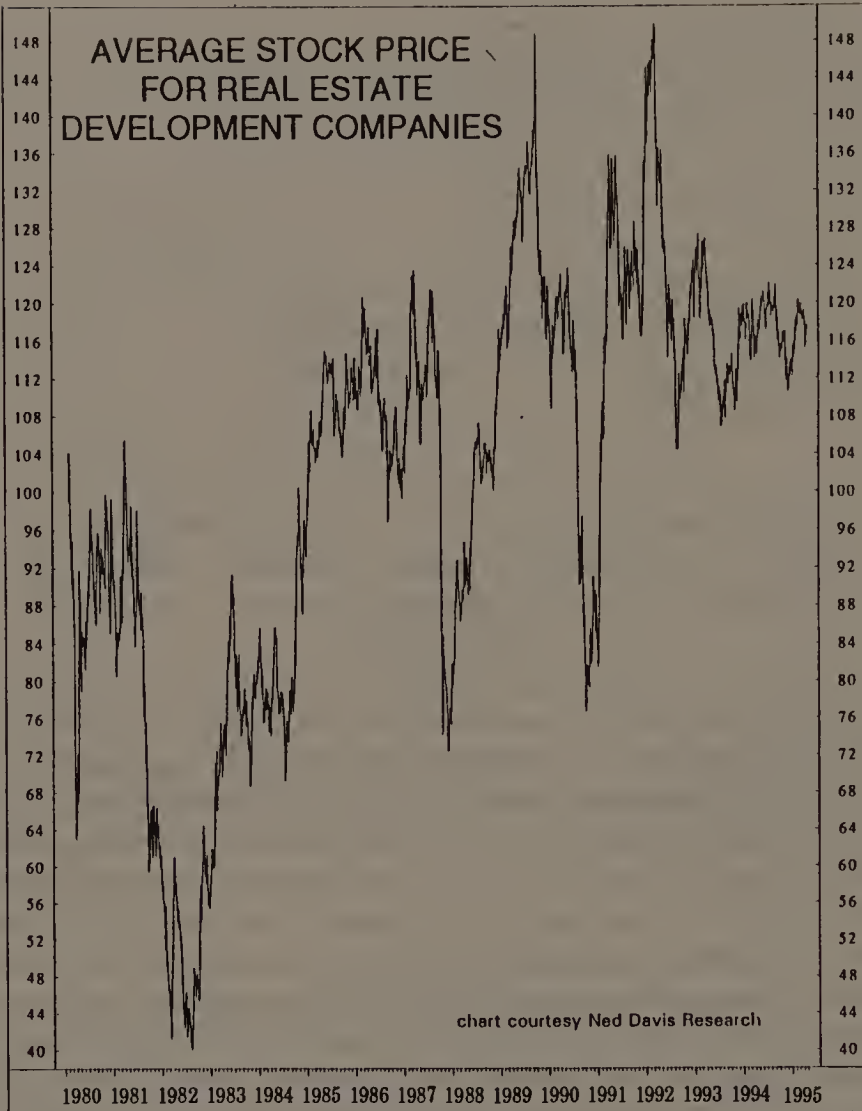


Figure 20-6

keys and walking away from the debt on their houses. The aggregate value of owner occupied land in the country fell 10% in 1990, the first decrease since statisticians began collecting the data in 1945. By January 1991, housing starts had hit their lowest level in the four decades of data. Overall, it was the biggest decline in U.S. real estate prices in fifty years.

It is difficult in retrospect to appreciate the rarity of identifying the top of an uptrend that for 4½ decades has been considered literally invulnerable. Three years after that top, the American Institute for Economic Research expressed the extraordinary nature of the trend change this way: